Japan Equity Strategy

How long will the AI correction last? Japanese equities enter oversold territory

Equity Strategy

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An AI infrastructure pullback has affected equity markets worldwide, including Japan's, since the October 6 peak. TOPIX has fallen 5%, the Nikkei 225 11%, the S&P 500 2%, and the Nasdaq 6% (Figure 1; closing prices on the 23rd for Japan equities and on the 22nd for others). AI/semiconductor stocks have led the decline. The Nikkei Semiconductor Index has dropped 26%, the SOX 19%, and the KOSPI 20%. These declines of about 20%+ are well above the 10% threshold for a correction. The decline in Japanese semiconductor stocks has been particularly steep (closing prices on the 22nd for the SOX and the 23rd for the others). We think the AI/semiconductor stock selloff has been driven by a combination of two factors: (1) growing concerns over the sustainability of AI infrastructure investment (concerns over funding and a recuping of investment, and credit anxieties regarding neo-cloud providers like CoreWeave) and (2) the rising price of Brent crude oil and growing inflation concerns with the escalation of Middle East tensions (Brent crude stayed above $100/bbl for a month and a half, half the three-month period in the spring: Figure 2). With the US midterm elections coming up on November 3, uncertainty is likely playing a role as well.

Japanese equity valuations enter undervalued territory

Against this backdrop, Japanese equity valuations have sunk into undervalued territory. We assume a 12-month forward P/E (based on IBES consensus estimates) range of 15–18x for TOPIX (October 1, 2025, report). P/E fell below 15x on October 15 and was 14.8x as of the October 23 close, below the 15x level for the first time since we set our range of 15–18x and below the level before the inauguration of the Takaichi administration in October 2025. Earlier in 2026, following the start of the Middle East conflict at end-February, P/E fell to 15.2x but did not drop below 15x. During this time, corporate earnings continued to improve. The IBES consensus estimate for FY2026 TOPIX EPS growth rose from +11% YoY to +21% (Figure 8). We think stocks have entered oversold territory, as AI has remained the growth driver for global markets over the past few years (Figure 4).

Our view on the sustainability of AI growth

We expect AI growth to continue supporting global equity markets. From a global cross-asset perspective, Fabio Bassi expects technology/AI stocks to outperform cyclicals and serve as a relative safe haven within the equity asset class, even as the Fed continues to tighten gradually. Following the recent sharp selloff in Korean stocks, we maintain an overweight stance on Korean and other Asian AI-related stocks overall and see an opportunity to buy on weakness. Meanwhile, from a global flow and liquidity perspective, Nikolaos Panigirtzoglou points out that overall equity positions have declined significantly from the mid-September peak. He thinks some near-term headwinds remain but that downside may be limited as positions have been adjusted. From a global equity strategy perspective, Mislav Matejka has recommended AI-related stocks, particularly semiconductors, since end-July owing to attractive valuations, lightened positions, continued upside for earnings and capex despite some slowdown concerns, and a rising number of instances of monetization. From an Asian tech perspective, Rajiv Batra maintains an overweight stance on tech, Taiwan, and Korea, noting that supply and demand for AI-related products should remain tight until at least 2028 and that Asian

See page 7 for analyst certification and important disclosures.

hardware companies have strong pricing power and growing volume.

From an equity fundamental research perspective, Doug Anmuth and others note in their hyperscaler earnings previews that backlogs are accumulating and expect AWS YoY growth in FY2027 to accelerate into the low 40% range. They maintain a positive view on Google because of its full-stack advantage and strong cloud momentum. From a credit perspective, Nathaniel Rosenbaum and others note that AI-related names in the high-yield (HY) segment, such as CoreWeave, have worsened significantly, leading to caution on the overall AI ecosystem. This caution is spreading to some relatively weaker credit names in the investment grade (IG) segment. Conversely, top-tier issuers such as Amazon, Alphabet (Google), Microsoft, and Meta have held up relatively well. They see this trend as progress on stock selection rather than indiscriminate selling. Although market sentiment on AI is worsening, we maintain a generally constructive view on AI/semiconductor growth based on solid earnings and the outlook for demand growth.

We also expect solid earnings growth for Japanese AI/semiconductor stocks. Mio Shikanai, who covers Japanese semiconductor/SPE stocks, notes that with AI-related demand rising further, cloud service providers (CSPs) are accelerating their investments. The team's forecasts for wafer fab equipment (WFE) market growth have been raised to +31% YoY for CY2026, +38% YoY for CY2027, and +17% YoY for CY2028 (CY2025–28 CAGR of +28%). Our electronic components analyst Akinori Kanemoto adds that following the Apr-Jun quarter, "we expect many electronic components companies to report strong results for the Jul–Sep 2026 quarter…and to raise their full-year guidance. We see the drivers as growth centered on AI servers, industrial equipment, and autos."

Hyperscalers' AI investments and Japanese semiconductor stocks

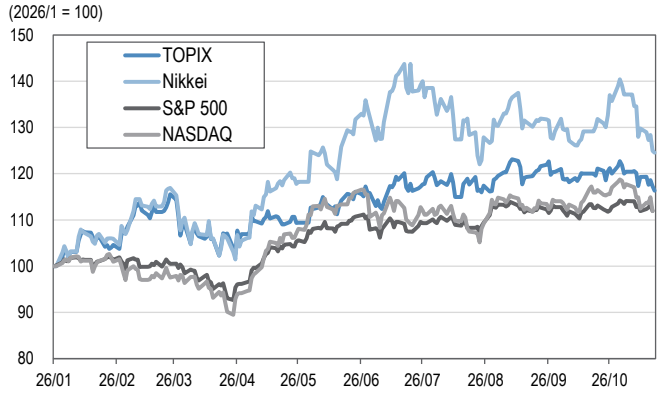
We expect the sustainability of hyperscalers' AI investments (funding, a recovery of investments, and ROIC) to draw closer scrutiny. As a measure of the degree of impact AI investments have on the equity market, the regional breakdown of the MSCI information technology sector (excluding software and services) is the US 65%, EM Asia 19%, Japan 4%, and Europe 4%. The impact on Japan's market is less than 10% of the total (as of end-September; Figure 5). If the market becomes wary of AI investments falling short or rising at an unsustainable pace, the impact on each region will likely reflect market value weightings.

However, information technology's (excluding software and services) share of overall market cap by region is the US 28%, EM Asia 26%, Japan 16%, and Europe 6% (as of end-September; Figure 6). Given the growth and volatility of AI, we think Japan's market has a structural strength of benefiting from the positive aspects of this growth while allowing other sectors to offset any negatives such as volatility.

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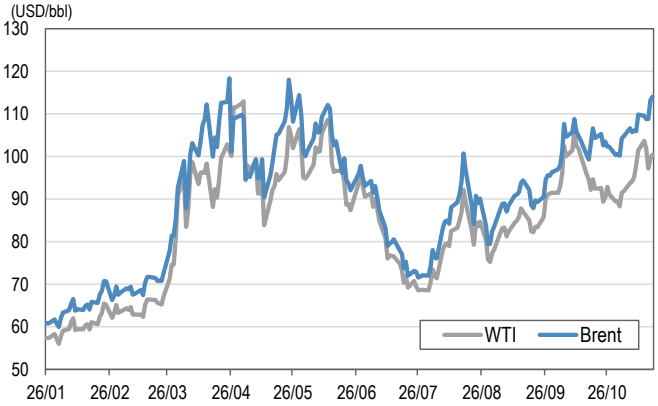
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Figure 1: Global equity market performance YTD in 2026



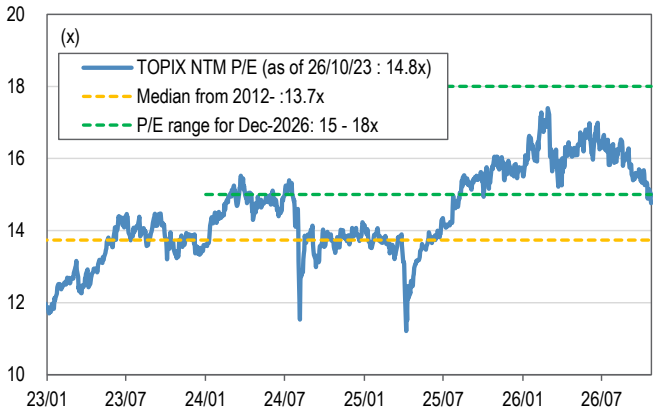
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 2: Crude oil price performance



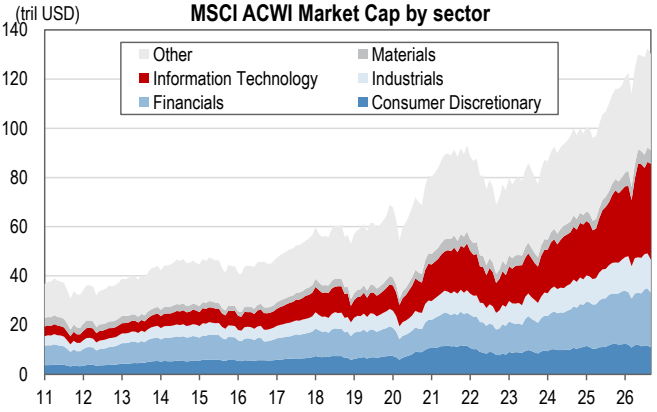
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 3: TOPIX forward P/E



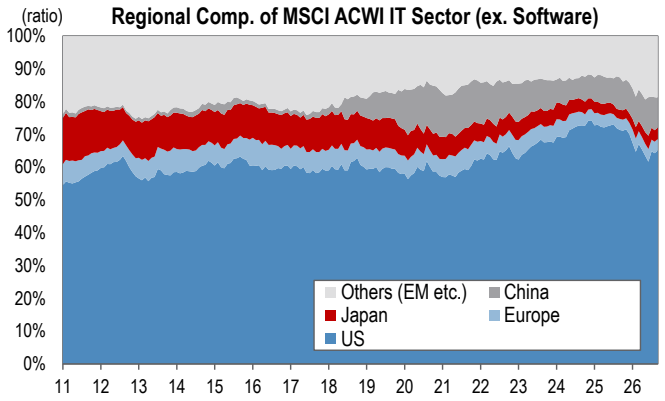
Source: ㄨDatastream, J.P. Morgan estimates
Note: NTM P/E is based on IBES consensus

Figure 4: MSCI ACWI market capitalization by sector



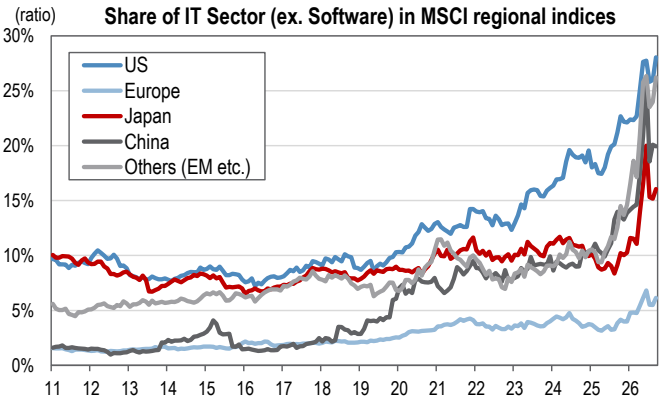
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 5: Regional breakdown of MSCI ACWI IT Sector (ex. Software & Services)



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 6: Weight of IT Sector (ex. Software & Services) in MSCI regional indices



Source: Bloomberg Finance L.P., J.P. Morgan

Japanese equities enter oversold territory

As mentioned above, Japanese equity valuations have fallen to levels last seen in Jul 2025 and 2024. Valuations rose following a phase change after the Takaichi administration was inaugurated in Oct 2025, but they are now below pre-inauguration levels. Valuations are at the same level as in 2024, but corporate EPS and ROE have improved significantly since then.

In the period since 2023, valuations contracted sharply after the July 2024 rate hike and the April 2025 US tariff announcement, but in both cases, the sharp decline in the 12-month forward P/E was temporary, and stocks recovered fairly quickly thereafter (Figure 3).

Corporate earnings remain very strong, with IBES consensus FY2026 EPS growth up to 21% YoY (Figure 7, Figure 8). We expect earnings to remain strong in FY2027 and forecast they will grow at a 15% CAGR in FY2026–28 (see our Oct 14 report, "Why are Japanese corporate earnings strong?"; Figure 9). Equity market positioning is not crowded (Figure 10), and we think Japanese equities overall have entered oversold territory.

Stock price trends and catalysts by sector

AI/semiconductor (nonferrous metals/electric appliances), bank, machinery, and construction stocks have declined significantly since the start of October, while pharmaceutical, retail, food, and real estate stocks have continued to rise. This week, the correction has picked up, with declines in AI/semiconductors, banks, and machinery accelerating, while information and communication services (IT services, Internet, games) and autos have headed south after rising. Meanwhile, real estate, pharmaceutical, retail, electric power and gas, transportation, and food stocks have maintained their uptrend (Figure 11). Amid the rapid deterioration in market sentiment, investors appear to be shifting to laggards/defensives. The advance/decline (A/D) line (calculated as the number of advancing stocks minus the number of declining stocks) shows an ongoing rotation in the market but not a broad-based selloff yet (Figure 13).

We think potential catalysts include (1) better visibility on the sustainability of hyperscalers' AI investments (a recovery of investments, ROIC), (2) a cooling of Middle East tensions, (3) diminished uncertainty after the US midterm elections, and (4) confirmation in Japanese corporate earnings results of sustainable growth (e.g., Advantest reports on the 28th and Tokyo Electron and Kioxia Holdings on the 30th). We expect market sentiment to normalize as these catalysts materialize.

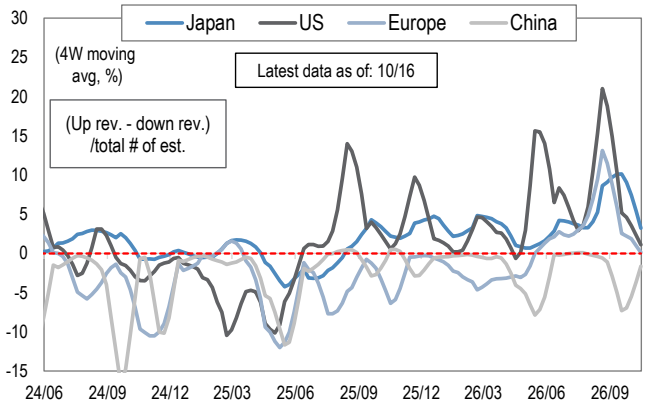
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We anticipate a normalization of market sentiment and (1) maintain an overweight stance on IT services, Internet, and games, (2) maintain an overweight stance on bank stocks (which look oversold and have good prospects for upward earnings estimate revisions), (3) have an overweight stance on capital goods (tech infrastructure/trading companies), (4) consider real estate and construction increasingly attractive (a pause in the rise in long-term yields), (5) expect a rebound in AI/semiconductor stocks (around year-end and the New Year holidays), and (6) maintain an overweight stance on domestic demand-driven groups (a particularly important theme for 2027). We separate our investment strategy through March 2027 into two phases, separated by the year-end/New Year period. In the first phase, we focus on (1), (2), (3), and (4) above (if the rise in yields lets up) and holding high-quality AI stocks, and in the second phase, we focus on (5) and (6) (report).

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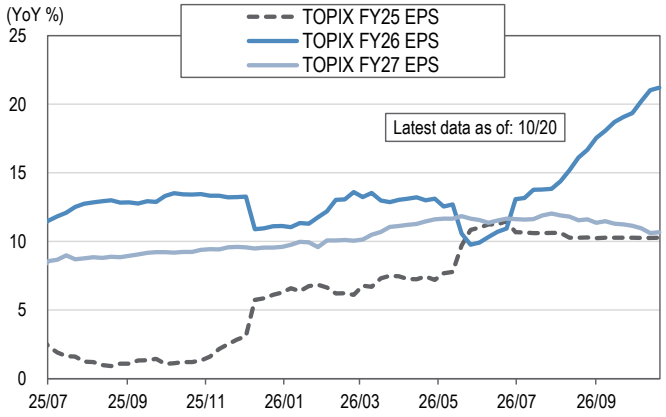
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Figure 7: EPS Revision Index



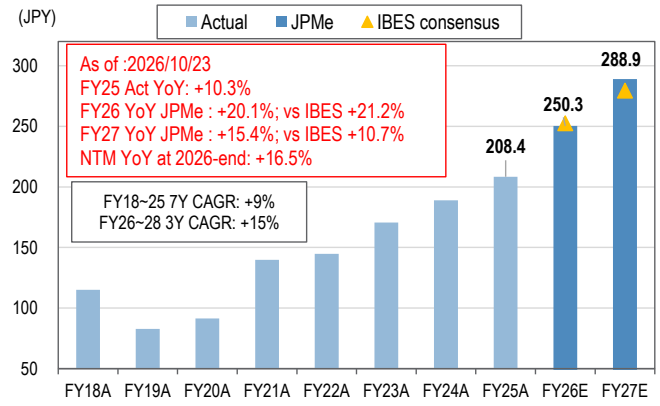
Source: Datastream, J.P. Morgan

Figure 8: TOPIX EPS consensus forecast



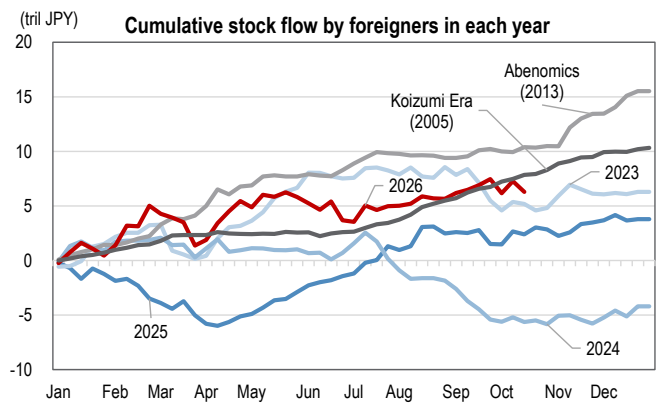
Source: Bloomberg Finance L.P., Datastream, J.P. Morgan
Note: IBES EPS consensus

Figure 9: TOPIX EPS forecast (JPMe)



Source: Datastream, J.P. Morgan estimates
Note: EPS consensus is IBES consensus

Figure 10: Cumulative net flows by foreign investors (YTD)



Source: QUICK, JPX, J.P. Morgan

Figure 11: TOPIX 17 Sector Performance

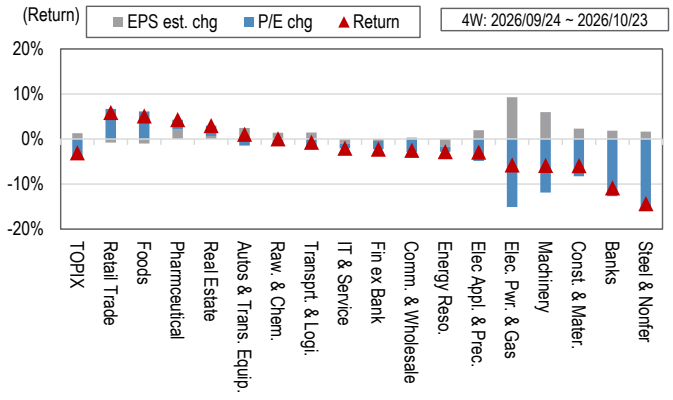
Sector (as of 2026/10/23)	Wgt	2026		2025-2026 Quarterly				Monthly												Weekly				
		Perf	Contri.	1Q26	2Q26	3Q26	4Q26	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	9/25	10/2	10/9	10/16	10/23
TOPIX	100.0%	16.3%	-	2.6%	14.2%	2.9%	-3.5%	1.4%	0.9%	4.6%	10.1%	-11.2%	6.4%	6.2%	0.9%	0.2%	3.8%	-1.1%	-1.5%	0.0%	-0.9%	0.3%	-0.5%	-2.5%
Elec Appl. & Prec.	22.1%	25.3%	5.6%	-3.2%	48.0%	-6.6%	-6.3%	-2.5%	-0.1%	5.1%	8.0%	-14.7%	19.0%	16.5%	6.7%	-8.9%	2.4%	0.1%	-6.3%	3.5%	3.3%	1.4%	-6.8%	-4.4%
Autos & Trans. Equip.	5.8%	-3.4%	-0.2%	-7.2%	-5.3%	6.4%	3.3%	1.2%	3.4%	2.8%	8.7%	-17.0%	-1.9%	3.8%	-7.0%	10.4%	3.0%	-6.4%	3.3%	-0.1%	-4.8%	2.1%	4.3%	-1.0%
Machinery	5.4%	6.2%	0.3%	9.7%	10.9%	-4.7%	-8.4%	-4.1%	-1.3%	14.7%	16.0%	-17.5%	12.7%	-3.8%	2.3%	-3.8%	-0.4%	-0.5%	-8.4%	2.3%	0.6%	-0.8%	-2.6%	-5.4%
Steel & Nonfer	2.6%	21.1%	0.6%	27.9%	25.6%	-10.0%	-16.3%	-0.9%	3.7%	13.1%	34.5%	-15.9%	23.8%	1.0%	0.4%	-16.9%	13.1%	-4.2%	-16.3%	0.9%	5.1%	-2.7%	-9.4%	-8.3%
Raw. & Chem.	5.0%	17.1%	0.9%	7.3%	14.5%	-3.4%	-1.4%	2.2%	0.7%	4.5%	15.0%	-10.7%	6.4%	9.6%	-1.9%	-4.9%	3.7%	-2.0%	-1.4%	1.8%	-0.2%	2.0%	-0.5%	-3.0%
Retail Trade	4.0%	3.2%	0.1%	-2.4%	3.8%	-3.3%	5.5%	6.0%	-2.2%	-2.4%	9.0%	-8.2%	-1.6%	3.5%	1.9%	2.4%	-1.1%	-4.5%	5.5%	0.3%	-0.4%	1.3%	3.0%	1.4%
Foods	3.0%	22.3%	0.7%	7.9%	6.2%	1.6%	5.1%	4.5%	-3.4%	1.7%	12.0%	-5.3%	0.2%	1.7%	4.2%	2.6%	2.6%	-3.5%	5.1%	0.8%	-1.8%	3.3%	2.5%	0.4%
Transprt. & Logi.	3.0%	7.2%	0.2%	1.6%	-5.0%	9.0%	1.9%	2.8%	0.9%	-0.1%	7.4%	-5.3%	-4.4%	-0.2%	-0.5%	8.5%	2.9%	-2.4%	1.9%	-0.2%	-4.0%	1.7%	1.1%	0.8%
IT & Service	13.3%	16.0%	2.1%	-11.5%	13.0%	16.2%	-0.2%	-5.5%	-1.9%	-3.9%	-2.5%	-5.6%	5.1%	12.2%	-4.2%	5.6%	10.9%	-0.8%	-0.2%	-1.3%	-0.8%	1.3%	0.6%	-1.2%
Const. & Mater.	3.0%	-2.3%	-0.1%	3.9%	10.8%	-10.4%	-5.3%	9.3%	1.3%	4.7%	17.4%	-15.4%	6.4%	1.7%	2.3%	-7.9%	-0.8%	-1.9%	-5.3%	0.2%	-1.8%	-1.3%	-1.5%	-1.1%
Elec. Pwr. & Gas	1.3%	6.3%	0.1%	10.3%	-10.3%	8.8%	-1.3%	11.7%	-4.7%	1.3%	14.5%	-4.9%	-6.2%	-2.7%	-1.7%	2.8%	7.2%	-1.2%	-1.3%	-3.2%	-3.5%	-0.5%	-1.0%	2.4%
Pharmceutical	3.6%	9.4%	0.3%	8.3%	-9.1%	3.9%	7.0%	10.5%	-0.2%	1.9%	13.4%	-6.2%	-5.9%	-0.5%	-2.9%	1.3%	5.8%	-3.0%	7.0%	-0.1%	-5.0%	0.3%	6.0%	2.8%
Energy Reso.	0.9%	23.7%	0.2%	35.4%	-23.0%	16.4%	1.8%	11.0%	1.5%	14.0%	12.9%	5.2%	-9.5%	-6.5%	-9.0%	10.6%	5.8%	-0.6%	1.8%	-0.4%	-5.0%	1.4%	1.4%	2.7%
Comm. & Wholesale	7.8%	19.6%	1.5%	19.8%	-11.2%	11.8%	0.5%	4.6%	4.3%	8.4%	17.6%	-6.0%	-1.0%	-0.7%	-9.6%	8.8%	2.9%	-0.1%	0.5%	-1.2%	-3.1%	-1.1%	3.7%	-0.7%
Banks	11.6%	31.0%	3.6%	6.1%	23.3%	15.6%	-13.4%	7.4%	4.6%	13.2%	8.5%	-13.6%	9.0%	6.0%	6.7%	7.7%	5.8%	1.4%	-13.4%	2.8%	-3.8%	-3.0%	-1.0%	-6.2%
Fin ex Bank	5.9%	27.6%	1.6%	8.1%	8.6%	8.5%	0.1%	3.8%	5.9%	2.4%	12.4%	-6.1%	1.7%	3.7%	3.0%	10.4%	-1.0%	-0.7%	0.1%	-0.7%	-5.4%	1.9%	3.0%	0.0%
Real Estate	1.6%	-5.0%	-0.1%	4.1%	-7.4%	-5.5%	4.3%	11.9%	0.7%	2.6%	20.8%	-16.1%	1.9%	-9.6%	0.5%	0.4%	-1.6%	-4.3%	4.3%	0.1%	-4.8%	0.9%	3.6%	3.7%
Sector return dispersion	-	26.2%	-	25.2%	37.1%	21.2%	15.0%	13.2%	7.1%	13.3%	15.2%	13.2%	19.8%	14.3%	11.1%	18.2%	9.5%	4.7%	15.0%	3.6%	6.6%	4.0%	8.4%	8.1%

Source: Bloomberg Finance L.P., J.P. Morgan

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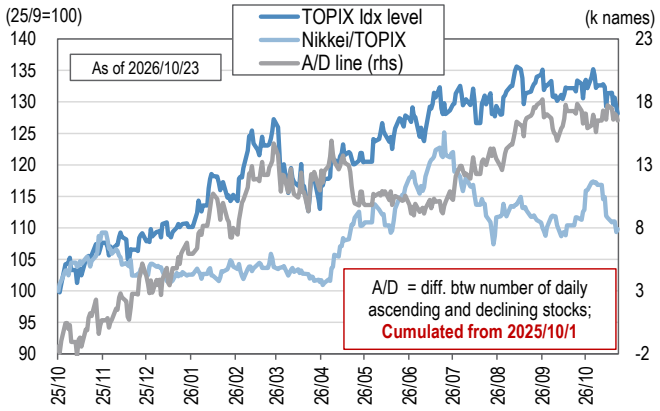
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Figure 12: Decomposition of TOPIX 17 sector price moves (4 weeks)



Source: Bloomberg Finance L.P., J.P. Morgan
Note: EPS and P/E are based on 12-month forward Bloomberg consensus

Figure 13: TOPIX market breadth



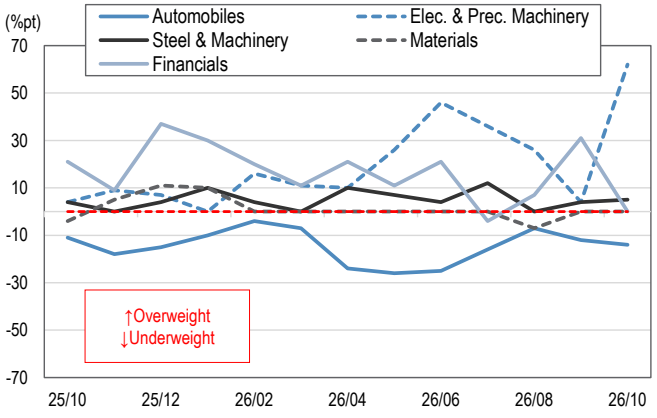
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 14: Sector allocation

GICS 11 Sector	Energy	Materials	Industrials	Consumer Discretionary	Consumer Staples	Health Care	Financials	Information Technology	Comm. Services	Utilities	Real Estate
GICS 25 Industry Groups Blue = OW Red = UW Black = N	Energy	Materials	Capital Goods	Automobiles & Components	Consumer Staples Distr. & Retail	Health Care Equip. & Serv.	Banks	Software & Services	Telecom Serv.	Utilities	Real Estate
			Commercial & Prof. Serv.	Consumer Durab. & Appar.	Food, Beverage & Tobacco	Pharms., Biotech. & Life Sciences	Financial Services	Tech. Hardware & Equip.	Media & Entertainment		
			Transportation	Consumer Services	Household & Personal Products		Insurance	Semicon. & Semicon. Equip.			
				Consumer Discr. Distri. & Retail							
Allocation	N	N	OW	N	UW	UW	OW	OW	OW	UW	N

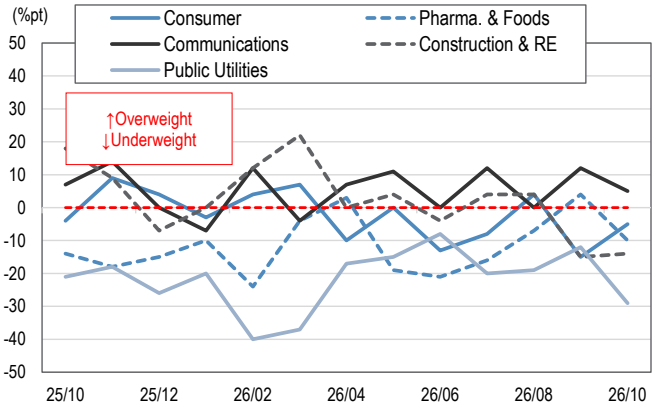
Source: J.P. Morgan estimates

Figure 15: Investor sentiment by sector (overseas demand/financials)



Source: QUICK Monthly Equity Survey, J.P. Morgan

Figure 16: Investor sentiment by sector (domestic demand/other)



Source: QUICK Monthly Equity Survey, J.P. Morgan

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